

sustained activity in capital goods industries generally, among which heavy-duty truck production is to be included; and, second, to a falling off in the position of Mack in its own field.

In view of the low level of stock prices prevailing in early 1933, it is not surprising, however, that a purchase of Mack Truck at 15 would have proved quite profitable. We believe that a twofold moral may be drawn from this example: (1) The analyst's views as to a company's future may prove erroneous, either because of poor judgment or for other reasons. (2) It is part of the analyst's approach to guard as far as possible against the unexpected by requiring an ample current margin of safety above the price paid for a common stock.

NOTE 55

SUBSEQUENT PERFORMANCE OF BREWERY STOCKS
FLOATED IN 1933-1934

A study was made of all the brewery-stock flotations in 1933-1934 for which it was possible to obtain offering prices and values as of the close of 1938. Most of the initial offering data were taken from the *Commercial and Financial Chronicle*. Following is a summary of the results covering 72 companies. The aggregate dollar values are derived from the number of shares offered in each instance and not from the total capitalization outstanding.

Dec. 31, 1938 price vs. offering price	Number companies	Total value of shares offered ¹	
		At offering price	At Dec. 31, 1938, price
Issues selling higher	9	\$ 6,211	\$12,555
Issues selling lower	62	30,533	5,918
Issues selling at same price	1	346	346
	72	\$37,090	\$18,819

¹ 000 omitted.

NOTE 56

A series of discrepancies in the relative prices of securities of the Interborough Rapid Transit Co. (New York) securities, described herewith, will exemplify the opportunities for analytical work of definite character which are recurrently presented in the securities markets.

1. In November 1919 the 4½% bonds and the preferred stock of Interborough Consolidated Corp. both sold at 13. The bonds (called Interborough-